

EQUITY RESEARCH · COMPANY DEEP DIVE

Microsoft Corporation (MSFT.US)

Technology · Software - Infrastructure

Large Cap (>\$200B) · Report Date: July 27, 2026

Latest financials: Q2 FY2025 · Model data as of 2026-07-27

UNDERWEIGHT

Composite · Valuation: SELL

Target \$341.03 · -12.7% upside

Price \$390.61

INVESTMENT HIGHLIGHTS

- **SELL** — blended target \$341.03 (-12.7% vs \$390.61); Comps 100% valuation after outlier checks.
- Strong revenue growth; high operating margins; conservative balance sheet; strong roe; positive fcf generation
- FCFE DCF not used in target (low FCFE yield / growth equity); rely on comps where shown; analyst used only if not stale.

MULTI-PILLAR INVESTMENT SIGNAL

Pillar	Rating / Signal	Key Metric	Wt
Valuation	SELL	Blended PT \$341.03	45%
FSA	Strong	Health +0.30 · Strong	20%
Technical	BEARISH	Bearish	20%
Quantitative	NEGATIVE	Score -0.70 · 12m -23%	15%
Composite	UNDERWEIGHT	Score -0.34 · 75% confluence	—

Fundamental and technical both bearish; solid financial statement profile.

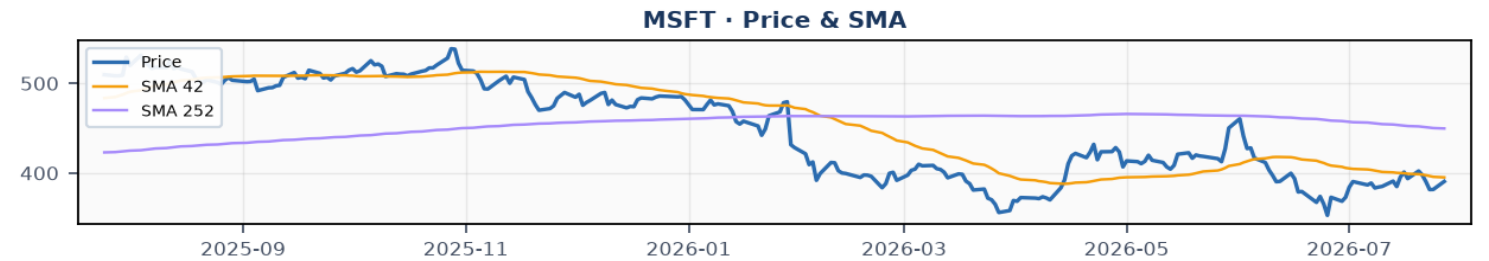
INVESTMENT THESIS / EXECUTIVE SUMMARY

Microsoft Corporation (MSFT) — Technology. Microsoft Corporation develops and supports software, services, devices, and solutions worldwide. The Productivity and Business Processes segment offers... **SELL** rating; blended target \$341.03. See Investment Highlights above and valuation cross-check on page 2.

KEY DATA & MARKET HIGHLIGHTS

Item	Value	Item	Value
Market Cap	\$2.90T	Shares Out.	7428.4M
52-Week Range	\$349.20 – \$555.45	P/E (TTM)	23.3x
P/B	7.0x	Beta	1.13
Avg Volume	39.23M	Analyst Rec.	Strong Buy
Revenue (TTM)	\$318.27B	Rev Growth	+18.3%
Op. Margin	46.3%	FCF (TTM)	\$71.61B
Gross Margin	68.3%	ROE	34.0%
EV/EBITDA	15.6x	Debt/Equity	30.3%
EPS (TTM)	\$16.79	Div Yield	95.0%

PRICE TREND · SMA 42 / 252



Page 2 of 2 · Microsoft Corporation (MSFT) · Financials · Valuation · Peers · Q2 FY2025 · 2026-07-27

FINANCIAL & VALUATION SUMMARY

(USD millions except per-share; A = actual, E = forecast)

Metric	FY 2024A	FY 2025A	FY 2026E	FY 2027E	FY 2028E
Revenue (\$M)	245,122	281,724	333,279	378,472	417,235
Revenue Growth (%)	N/A	14.9%	18.3%	13.6%	10.2%
Net Income (\$M)	88,136	101,832	120,467	136,803	150,814
Gross Margin (%)	69.8%	68.8%	68.3%	68.3%	68.3%
Net Margin (%)	36.0%	36.1%	36.1%	36.1%	36.1%
EPS (\$)	11.86	13.71	16.22	18.42	20.30
P/E (x)	32.92	28.49	24.09	21.21	19.24

TECHNICAL & QUANTITATIVE ANALYSIS

Metric	Value	Notes	Metric	Value	Notes
SMA (42d)	\$395.17	Short-term trend	12m Momentum	-23.4%	
SMA (252d)	\$449.72	Long-term trend	3m Momentum	-7.9%	
RSI (14d)	51.1	Momentum oscillator	Ann. Volatility	27.1%	
Trend	Bearish		Sharpe Ratio	0.12	Rf=4%
Golden Cross (20d)	No		Max Drawdown	-37.1%	
Death Cross (20d)	No		Rel. Strength vs SPY	-37.9%	
TA Signal	BEARISH	SMA42 below SMA252; SMA42=\$395.17, SMA252=\$449.72	Quant Score	-0.70	NEGATIVE
			SMA Backtest (ann.)	7.2%	B&H; 12.6%

VALUATION CROSS-CHECK

Valuation Method	Implied Price	vs. Current	Weight in	Notes
DCF (FCFE)	\$210.48	-46.1%	0% (excluded)	Diverges below other methods (47% of median)
Comps — Blended	\$341.03	-12.7%	100%	Included in blend
Analyst consensus	\$556.75	+42.5%	0% (excluded)	Analyst consensus lags / diverges >35% from comps
Blended target	\$341.03	-12.7%	100%	Comps 100%

DCF (FCFE) SUMMARY

Ke	Terminal g	FCFE growth	Equity value	Implied price	vs. Current
10.21%	4.00%	9.15%	\$1.56T	\$210.48	-46.1%

PEER COMPARISON · INDUSTRY CONTEXT

Ticker	Company	Market Cap	P/E	EV/EBITDA	Net Margin	Rev Growth
ORCL	Oracle Corporation	\$343.90B	20.5x	15.5x	25.4%	+20.6%
CRM	Salesforce, Inc.	\$142.21B	20.1x	12.8x	18.7%	+13.3%
NOW	ServiceNow, Inc.	\$108.40B	65.5x	36.6x	11.3%	+24.0%
IBM	International Business	\$204.01B	19.2x	15.7x	15.5%	+1.1%
MSFT*	Microsoft Corporation	\$2.90T	23.3x	15.6x	39.3%	+18.3%

* Subject company. P/e in line with peer median; stronger profitability than peers. Trends: Strong top-line growth (18.3% YoY); High operating leverage (46.3% margin); Sector: Technology | Industry: Software - Infrastructure - Risks: Standard sector cyclicality and macro exposure Strong revenue growth; high operating margins; conservative balance sheet; strong roe; positive fcf generation. Source: Yahoo Finance. Not investment advice.